

climbed from there. I held on during the move despite tired fingers.

In late April, the company announced better than expected earnings and the stock gapped up (breakaway gap) by more than 20%. I sold that day to capture the gain.

Over the next two weeks, the stock continued higher, eventually peaking at just over 25 before dropping 47%. I sold at 22 for a gain of 24% with a hold time of about 2 months, and yet I predicted, correctly, that the stock would climb to 24.50, which it did.

- Lesson: If a company announces better than expected earnings in a stock you own (and price shoots up 5% or more), consider selling and buying back in after the retrace.
- Lesson: If you can correctly identify a rounding bottom, buy near the bottom and ride price up to the right rim (or higher). Place a stop below the pattern just in case.

Ferro

With Ferro (FOE), I bought in 2012 near the bottom of what I believed was a rounding bottom, hoping to ride the stock back up. Instead, the bottom fell out of the rounding turn and the stock dropped in half.

My mind was focused on the stock returning to the base of a long cloud bank at 18 to 20. You can see it on the monthly charts going back to 1992. The bear market of 2007 to 2009 took the stock down from a high of 24 to 81 cents. It bounced back to 18, the cloud base, before plummeting again, reaching a low of 2.38. It was during this second drop when I bought.

The stock began another recovery that took it back up to 15. In late 2013, the stock moved sideways for more than a year. When it showed weakness in early 2015, I got tired of waiting for the upward move to resume and sold it for a 133% gain. I was hoping for more, a return to the cloudbank at 18 to 20, but it never made it (meaning the stock found the ultimate high at 15 and change before dropping by 27%).

- Lesson: Even though I doubled my money, when price closed below the bottom of the rounding turn, I should have sold and taken a small loss.